

EXAMPLES OF NORMAL RELATIONSHIP BETWEEN INTEREST COVERAGE AND STOCK-VALUE RATIO

Item	North American Co.	Union Pacific R.R. Co.	United Biscuit Co. of America
Year ended	Dec. 31, 1938	Dec. 31, 1938	Dec. 31, 1938
Balance for interest charges	\$37,663,000	\$32,964,000	\$1,327,000
Interest charges	22,554,000*	14,263,000	297,000
Times earned	1.67	2.31	4.47
Balance for dividends	\$15,109,000	\$18,701,000	\$1,030,000
Preferred dividends	1,819,000	3,982,000	77,000
Balance for common	13,290,000	14,719,000	953,000
Per share	\$1.55	\$6.62	\$2.08
Average per share 1934–1938	1.53	6.82	2.00
Bonded debt	\$438,000,000*	\$355,000,000	\$6,150,000
Preferred stock at market	606,000 sh.@ 56—\$ 34,000,000	995,000 sh.@ 83—\$ 83,000,000	11,400 sh.@ 118 —\$1,345,000
Common stock at market	8,571,000 sh.@ 23—\$187,000,000	2,220,000 sh.@ 98—\$218,000,000	459,000 sh.@ 161/2—\$7,570,000
Total stock at market	\$221,000,000	\$301,000,000	\$8,915,000
Ratio of stock to bonds	0.51 to 1	0.85 to 1	1.45 to 1

* Includes preferred stock of subsidiary companies and requirements thereof (see Chap. 13).